Solution to Question 1

Requirement 1

1(a)

Recognition

When a parent company acquires shares in a subsidiary, it is required to recognise the identifiable assets and liabilities of the subsidiary at the date of acquisition.

(1 mark)

An asset is identifiable if it is separable or it arises from legal or other contractual rights. Assets which do not meet the criteria for recognition in the individual financial statements may be recognised on acquisition.

(1 mark)

The Stewart brand can be recognised on acquisition as, from the group perspective, they are not internally generated and are instead purchased at the date of acquisition.

(1 mark)

Initial measurement

Net assets at acquisition should be measured at their fair value (FV) at the date of acquisition.

(1 mark)

Adjustment required

As the fair values (FVs) of the brand, property and bonds have not been recognised in the individual financial statements of Stewart, an adjustment is required to reflect the fair value at the date of acquisition for inclusion in the goodwill calculation.

(1 mark)

1(b)

	£'000	**£'000**	
Cash consideration		10,900	
Non-controlling interests' (NCIs) share of net assets (10% x £9,000,000)		900	**(1 mark)**
		11,800	
Share capital	4,000		
Retained earnings	3,000		
Recognition of the FV of brand	200		**(1 mark)**
FV increase on property (8,000 - 6,000)	2,000		**(1 mark)**
FV increase on bonds (3,200 - 3,000)	(200)		**(1 mark)**
		9,000	
Goodwill		2,800	**(1 mark)**

(10 marks)

Requirement 2

Step 1 – Add financial statements together

Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

JE 1			**£'000**	**£'000**
Dr	Property		2,000	
Dr	Brands		200	
Dr	Share capital		4,000	
Dr	Retained earnings		3,000	
Dr	Goodwill		2,800	
	Cr	Bonds		200
	Cr	Investment in Stewart		10,900
	Cr	Non-controlling interests (SOFP)		900

being fair value adjustments, elimination of investment and recognition of goodwill and non- controlling interests

(3 marks)

Step 3 – Recognise any impairment of goodwill

N/A – goodwill is not impaired.

Step 4 – Allocate share of subsidiary's historical profit/loss and other gains/losses to non-controlling interests

N/A – subsidiary acquired in the current year.

Step 5 – Allocate share of subsidiary's current year profit/loss and other gains/losses to non-controlling interests

Non-controlling interests' share of current year profit = 10% x 9/12 x £1,200,000 = £90,000

JE 2			**£'000**	**£'000**
Dr	SPL – Non-controlling interests		90	
	Cr	Non-controlling interests (SOFP)		90

being non-controlling interests' share of current year profit

(1 mark)

Step 6 – Eliminate intercompany transactions and balances and allocate a share of adjustments to the subsidiary's profit or loss to non-controlling interests

Intercompany sales and purchases

	£'000
Sales (100%)	2,200
Cost of sales (80%)	(1,760)
Gross profit (20%)	440
Unrealised profit (25%)	110

(1 mark)

				£'000	**£'000**
JE 3	Dr	SPL – Revenue		2,200	
		Cr	SPL – Cost of sales		2,200

being the elimination of intercompany sales and purchases

(1 mark)

				£'000	**£'000**
JE 4	Dr	SPL – Cost of sales		110	
		Cr	Inventories		110

being elimination of intercompany unrealised profit in inventories

(1 mark)

Impact of fair value adjustments on subsidiary's profit or loss Amortisation on brand = 200,000 / 5 yrs x 9/12m = £30,000

(1 mark)

				£'000	**£'000**
JE 5	Dr	SPL – amortisation charge		30	
	Cr		Brands – accumulated amortisation		30

being amortisation on recognised brand

(1 mark)

Increased depreciation charge = £2,000,000 / 20 years x 9/12 = £75,000

(1 mark)

				£'000	**£'000**
JE 6	Dr	SPL – depreciation charge		75	
Cr			Property – accumulated depreciation		75

being increased depreciation charge as a result of fair value increase in property

(1 mark)

Decreased effective interest on bonds = 9/12 x ((8% x £3,000,000) - (6.4% x £3,200,000)) = £26,000

Pro-rating (1 mark)

Effective interest (1 mark)

JE 7	**£'000**	**£'000**
Dr Bonds	26	
Cr SPL – Interest expense on borrowing		26

being decreased effective interest as a result of fair value increase in bonds

(1 mark)

	£'000
Amortisation charge	30
Increased depreciation charge	75
Decreased effective interest on bonds	(26)
Reduction in profit	79
Non-controlling interests' share of reduction in profit (10%)	7.9

Reduction in profit (1 mark)

NCI (1 mark)

JE 8	**£'000**	**£'000**
DrNon-controlling interests (SOFP)	8	
Cr SPL – Non-controlling interests		8

being non-controlling interests' share of the reduction in profit as a result of fair value adjustments

(1 mark)

(17 marks)

Total marks (27 marks)

Solution to Question 2

Requirement 1

Bruin's shareholding in Gumdrop is developed as follows:

Shareholding

	Shares '000	Cumulative %
1 May 20X1	100	5%
31 December 20X1	1,000	55%
1 May 20X3	200	65%

(1 mark)

Acquisition 1 May 20X1

Bruin does not appear to have a controlling interest nor significant interest in Gumdrop and therefore the investment is a financial asset in the individual accounts of Bruin and consolidated financial statements are not required.

(1 mark)

Bruin will account for the investment in accordance with IFRS 9. As Bruin does not make any election to present fair value movements in other comprehensive income, any increases or decreases in fair value will be presented in profit or loss (FVTPL).

(1 mark)

Acquisition 31 December 20X1

The initial 5% investment must be revalued at its fair value at 31 December 20X1, with the gain of

£15,000 (£215,000 - £200,000) recognised in profit for the year and presented in the investing category.

(1 mark)

The acquisition of an additional 1,000,000 shares increases Bruin's shareholding to 55%, giving Bruin control over Gumdrop.

(1 mark)

Gumdrop becomes a subsidiary at this date and Bruin must prepare consolidated financial statements.

(1 mark)

Goodwill is calculated at the date control is gained. (Goodwill calculation is included in Requirement 2.) The assistant has made an error by only calculating goodwill in May 20X3 and not in December 20X1 when control was gained.

(1 mark)

The assistant has also made an error in using the cost of each acquisition. The consideration paid for the shares in Gumdrop will comprise the fair value of the 5% holding of £215,000 and the cost of the additional acquisition of £2,150,000.

(1 mark)

Acquisition 1 May 20X3

After the additional purchase increased Bruin's stake to 65%, Gumdrop remains classified as a subsidiary because Bruin already had control. Goodwill is not recalculated. It is calculated only at the point where control is obtained.

(1 mark)

Bruin shall recognise directly, in equity, any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid.

(1 mark)

(10 marks)

Requirement 2

Step 1 – Add financial statements together

N/A – consolidated financial statements are not required.

Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition Goodwill and non-controlling interests

	£'000	**£'000**
Investment in Gumdrop (£215,000 + £2,150,000)		2,365
Non-controlling interests' share of net assets (45% x £4,180,000)		1,881
		4,246
Share capital	2,000	
Share premium	500	
Retained earnings	1,680	4,180
Goodwill		66

Investment in Gumdrop and NCI (1 mark)

Goodwill (1 mark)

			£'000	**£'000**
Dr	Share capital		2,000	
Dr	Share premium		500	
Dr	Retained earnings		1,680	
Dr	Goodwill		66	
	Cr	Investment in Gumdrop		2,365
	Cr	Non-controlling interests (SOFP)		1,881

being the elimination of investment and recognition of goodwill and non-controlling interests

(2 marks)

Additional investment

	£'000
Additional investment in Gumdrop	520
Net assets acquired from non-controlling interests (10% x [£2,000,000 + £500,000 + £2,143,000])	464
Loss to retained earnings	56

Net assets acquired from non-controlling interests (1 mark)

Loss to retained earnings (1 mark)

			£'000	£'000
Dr	Non-controlling interests (SOFP)		464	
Dr	Retained earnings		56	
	Cr	Investment in Gumdrop		520

being elimination of additional investment and reduction in non-controlling interests

(1 mark)

Step 3 – Recognise any impairment of goodwill

			£'000	£'000
Dr	Retained earnings		40	
	Cr	Goodwill		40

being historical impairment of goodwill

(1 mark)

Step 4 – Allocate share of subsidiary's historical profit/loss and other gains/losses to non-controlling interests

	£'000
Retained earnings at 31 December 20X3	2,410
Profit for the year ended 31 December 20X3	(400)
Retained earnings at 31 December 20X2	2,010
Retained earnings at 31 December 20X1	1,680
Increase	330
Non-controlling interests' share of historical profit (45% x £330,000)	149

RE at 31 December 20X2 (1 mark)

Increase (1 mark)

Non-controlling interests' share of historical profit (1 mark)

			£'000	£'000
Dr	Retained earnings		149	
	Cr	Non-controlling interests (SOFP)		149

being non-controlling interests' share of historical profit

(1 mark)

Step 5 – Allocate share of subsidiary's current year profit/loss and other gains/losses to non-controlling interests

Non-controlling interests' share of current year profit = (45% x 4/12 months x £400,000) + (35% x 8/12 months x £400,000) = £153,000.

(2 marks)

		£'000	**£'000**
Dr	SPL – non-controlling interests	153	
Cr	Non-controlling interests (SOFP)		153

being non-controlling interests' share of current year profit

(1 mark)

Step 6 – Eliminate intercompany transactions and balances and allocate share of adjustments to the subsidiary's profit/loss to non-controlling interests

N/A – there are no intercompany transactions or balances.

(15 marks)

Total marks (25 marks)

Solution to Question 3

Requirement 1

Simpson loses control of Prima from 31 December 20X9. Simpson must:

1. Derecognise the assets (including any goodwill) and liabilities of the subsidiary at their carrying amounts at the date of disposal and also the carrying amount of any NCI at the date when control is lost.

(1 mark)

2. Recognise the fair value of the consideration received and the gain or loss on disposal in profit or loss.

(1 mark)

Since the subsidiary has been disposed of during the year, in the consolidated statement of profit or loss, the income and expenses must only be included pro-rata from the start of the year to the disposal date.

(1 mark)

As Prima represents a component of the group and was a separate major line of business, it appears to meet the definition of a discontinued operation in accordance with IFRS 5 *Non-current Assets Held for Sale and Discontinued Operations.*

(1 mark)

The profit or loss for the period from discontinued operations should be separately presented on the face of the consolidated statement of profit or loss in the discontinued operations category.

(1 mark)

An analysis of the effect of the classification as a discontinued operation can be provided either on the face of the consolidated statement of profit or loss (within the discontinued operations category) or in the notes to the financial statements.

(1 mark)

The gain or loss on disposal will also be included as part of the profit or loss from discontinued operations.

(1 mark)

(7 marks)

Requirement 2

Step 1 – Add financial statements together

See Requirement 2.

Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

	£'000	£'000
Investment in Prima		900
Non-controlling interests' share of net assets (40% x £670k)		268
		1,168
Share capital	400	
Revaluation surplus	150	
Retained earnings	120	670
Goodwill		498

Investment and NCI (1 mark)

Goodwill (1 mark)

				£'000	£'000
JE 1	Dr	Share capital		400	
	Dr	Revaluation surplus		150	
	Dr	Retained earnings		120	
	Dr	Goodwill		498	
		Cr	Investment in Prima		900
		Cr	Non-controlling interests (SOFP)		268

being the elimination of investment and recognition of goodwill and non-controlling interests

(2 marks)

Step 3 – Recognise any impairment of goodwill

				£'000	£'000
JE 2	Dr	SPL – Impairment loss		249	
		Cr	Goodwill		249

being current year impairment of goodwill

(1 mark)

Step 4 – Allocate share of subsidiary's historical profit/loss and other gains/losses to non-controlling interests

Revaluation surplus

	£'000
Revaluation surplus at 31 December 20X8	60
Revaluation surplus at 4 August 20X1	150
Decrease	90
Non-controlling interests' share of historical revaluation decrease (40% x £90,000)	36

Decrease (1 mark)

Non-controlling interests' share of historical revaluation decrease (1 mark)

			£'000	£'000
JE 3	Dr	Non-controlling interests (SOFP)	36	
	Cr	Revaluation surplus		36

being non-controlling interests' share of historical revaluation decrease

(1 mark)

Retained earnings

	£'000
Retained earnings at 31 December 20X9	2,650
Profit for the year ended 31 December 20X9	(820)
Retained earnings at 31 December 20X8	1,830
Retained earnings at 4 August 20X1	120
Increase	1,710
Non-controlling interests' share of historical profit (40% x £1,710,000)	684

Retained earnings at 31 December 20X8 (1 mark)

Increase (1 mark)

Non-controlling interests' share of historical profit (1 mark)

			£'000	£'000
JE 4	Dr	Retained earnings	684	
	Cr	Non-controlling interests (SOFP)		684

being non-controlling interests' share of historical profit

(1 mark)

Step 5 – Allocate share of subsidiary's current year profit/loss and other gains/losses to non-controlling interests

Non-controlling interests' share of current year profit = 40% x £820,000 = £328,000

(1 mark)

			£'000	£'000
JE 5	Dr	SPL – Non-controlling interests	328	
	Cr	Non-controlling interests (SOFP)		328

being non-controlling interests' share of current year profit

(1 mark)

Step 6 – Eliminate intercompany transactions and balances and allocate a share of adjustments to the subsidiary's profit/loss to non-controlling interests

N/A – there are no intercompany transactions or balances.

Step 7 – Disposal of shares in subsidiary

Carrying amount of goodwill = £498,000 - £249,000 = £249,000

(1 mark)

	£'000
Proceeds	3,000
Carrying amount of goodwill disposed of	(249)
Net assets disposed of (60% x £3,110,000)	(1,866)
Gain on disposal	885

Net assets disposed of (1 mark)

Gain on disposal (1 mark)

Non-controlling interests' share of net assets at date of disposal = 40% x £3,110,000 = £1,244,000

(1 mark)

				£'000	£'000
JE 6	Dr	Retained earnings		3,000	
	Dr	Non-controlling interests (SOFP)		1,244	
		Cr	Goodwill		249
		Cr	Net assets		3,110
		Cr	SPL – Gain on disposal		885

being correction to gain on full disposal of subsidiary

(2 marks)

(20 marks)

Total marks (27 marks)

Solution to Question 4

Requirement 1

Magnum Ltd

Step 1 – Add financial statements together

Not required in question.

Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

	£'000	£'000
Investment in Magnum		4,500
Non-controlling interests' share of net assets (20% x £4,460,000)		892
		5,392
Share capital	1,000	
Share premium	200	
Retained earnings	3,260	4,460
Goodwill		932

Non-controlling interests' share of net assets (1 mark)

Goodwill (1 mark)

				£'000	£'000
JE 1	Dr	Share capital		1,000	
	Dr	Share premium		200	
	Dr	Retained earnings		3,260	
	Dr	Goodwill		932	
		Cr	Investment in Magnum		4,500
		Cr	Non-controlling interests (SOFP)		892

being the elimination of investment and recognition of goodwill and non-controlling interests

(2 marks)

Step 3 – Recognise any impairment of goodwill

Historical impairment of goodwill = (60% + 10%) x £932,000 = £652,000

(1 mark)

				£'000	£'000
JE 2	Dr	Retained earnings		652	
		Cr	Goodwill		652

being historical year impairment of goodwill

(1 mark)

Step 4 – Allocate share of subsidiary's historical profit/loss and other gains/losses to non-controlling interests

	£'000
Retained earnings at 30 September 20X8	2,984
Loss for the year ended 30 September 20X8	1,029
Retained earnings at 30 September 20X7	4,013
Retained earnings at 1 February 20X2	3,260
Increase	753
Non-controlling interests' share of historical profit (20% x £753,000)	151

Retained earnings at 30 September 20X7 (1 mark)

Increase (1 mark)

Non-controlling interests' share of historical profit (1 mark)

			£'000	£'000
JE 3	Dr	Retained earnings	151	
	Cr	Non-controlling interests (SOFP)		151

being non-controlling interests' share of historical profit

(1 mark)

Step 5 – Allocate share of subsidiary's current year profit/ loss and other gains/ losses to non-controlling interests

Non-controlling interests share of current year loss = 20% x £1,029,000 = £206,000

(1 mark)

			£'000	£'000
JE 4	Dr	Non-controlling interests (SOFP)	206	
	Cr	SPL – Non-controlling interests		206

being non-controlling interests' share of current year loss

(1 mark)

Step 6 – Eliminate intercompany transactions and balances and allocate a share of adjustments to the subsidiary's profit/loss to non-controlling interests

N/A – there are no intercompany transactions or balances.

Step 7 – Disposal of shares in subsidiary

Carrying amount of goodwill = £932,000 - £652,000 = £280,000

(1 mark)

	£'000
Proceeds	3,000
Carrying amount of goodwill disposed of	(280)
Net assets disposed of (80% x £4,184,000)	(3,347)
Loss on disposal	(627)

Net assets (1 mark)

Loss on disposal (1 mark)

Non-controlling interests' share of net assets at date of disposal = 20% x £4,184 = £837,000

(1 mark)

			£'000	£'000
JE 5	Dr	SPL – Revenue	3,000	
	Dr	Non-controlling interests (SOFP)	837	
	Dr	SPL – Loss on disposal	627	
		Cr Goodwill		280
		Cr Net assets		4,184

being correction to loss on full disposal of subsidiary

(2 marks)

Omricon Ltd

Steps 1–5

Not required by the question.

Step 6 – Eliminate intercompany transactions and balances and allocate a share of adjustments to the subsidiary's profit/loss to non-controlling interests

Dividend paid

	£'000
Group share of dividend (80% x £1,100,000)	880
Non-controlling interests' share of dividend (20% x £1,100,000)	220
Dividend	1,100

(1 mark)

			£'000	£'000
JE 9	Dr	SPL – dividend income	880	
	Dr	Non-controlling interests (SOFP)	220	
		Cr Retained earnings		1,100

being the elimination of intercompany dividend

(1 mark)

Intercompany sales and purchases

	£'000
Sales (130%)	1,400
Cost of sales (100%)	(1,077)
Markup (30%)	323
Unrealised profit (15%)	48

(1 mark)

			£'000	£'000
JE 10	Dr	SPL – Revenue	1,400	
		Cr SPL – Cost of sales		1,400

being the elimination of intercompany sales and purchases

(1 mark)

			£'000	£'000
JE 11 Dr	SPL – Cost of sales		48	
	Cr	Inventories		48

being elimination of intercompany unrealised profit in inventories

(1 mark)

Intercompany transfer of non-current asset at a gain

Point of transfer

	£'000
Cost	430
Accumulated amortisation (3/7 years x £430,000)	(184)
Carrying amount	246
Proceeds	250
Gain on disposal	4
Non-controlling interests' share of gain on disposal (20% x £4,000)	1

Accumulated amortisation (1 mark)

Gain on disposal (1 mark)

Non-controlling interests' share of gain on disposal (1 mark)

			£'000	£'000
JE 12 Dr	Intangible assets – cost		180	
Dr	SPL – Gain on disposal		4	
	Cr	Intangible assets – accumulated amortisation		184

being elimination of intercompany transfer of non-current asset at a gain

(1 mark)

			£'000	£'000
JE 13 Dr	Non-controlling interests (SOFP)		1	
	Cr	SPL – Non-controlling interests		1

being non-controlling interests' share of elimination of intercompany gain on disposal

(1 mark)

Post-transfer period

	£'000
Actual amortisation charged (1/2 years x £250,000)	125
Equivalent historical amortisation charge (1/2 years x £246,000)	123
Excess amortisation charge	2

(1 mark)

			£'000	£'000
JE 14 Dr	Intangible assets – accumulated amortisation		2	
	Cr	SPL – Amortisation charge		2

being adjustment to depreciation charge

(1 mark)

(30 marks)

Requirement 2

Magnum has been disposed of in the year and therefore consideration is needed as to whether it meets the other criteria in IFRS 5 and should be classified as a discontinued operation.

(1 mark)

Magnum is a separate company and is therefore a component of an entity which has operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.

(1 mark)

Magnum represents a major line of business for the group as the retail operation was different from their core operations.

(1 mark)

Magnum should therefore be recognised as a discontinued operation in accordance with IFRS 5.

(1 mark)

It should be reported as a discontinued operation in the current period, with comparative periods restated.

(1 mark)

(5 marks)

Requirement 3

Issue
The managing director has stated that he does not want undue attention to be drawn to the disposal of Magnum and therefore that separate presentation and detailed disclosure of the disposal should be avoided.

(1 mark)

Professional competence and due care
As a professional accountant, I must comply with the ethical principle of professional competence and due care, which requires that I act diligently and in accordance with applicable standards. I must therefore present and disclose information in accordance with the relevant IFRS Accounting Standards and not in accordance with the managing director's request.

(1 mark)

Objectivity
The managing director has stated that my job security is at threat if unwanted attention arises from disclosing information about the disposal. This is a threat to my objectivity, as it creates a personal conflict for me and means I am more likely to be biased in my decision.

(1 mark)

Actions
I should politely explain to the managing director that the disposal must be presented and disclosed in accordance with the relevant IFRS Accounting Standards. If I do not feel comfortable in discussing this directly with the managing director, I could escalate it to someone more senior in the finance team.

(1 mark)

(4 marks)

Total marks (39 marks)

Solution to Question 5

Requirement 1

Step 1 – Add financial statements together

Not required in this question.

Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

Shareholding = 80,000/100,000 = 80% (20% non-controlling interests)

	£'000	£'000
Cash consideration		120
Fair value of property transferred		40
Non-controlling interests' share of net assets (20%)		37
		197
Share capital	100	
Retained earnings	86	186
Goodwill		11

Consideration and FV of property (1 mark)

NCI (incl. % holding) (1 mark)

Goodwill (1 mark)

			£'000	£'000
JE 1	Dr	Share capital	100	
	Dr	Retained earnings	86	
	Dr	Goodwill	11	
	Cr	Investment in Blue		160
	Cr	Non-controlling interests (SOFP)		37

being the elimination of investment and recognition of goodwill and non-controlling interests

(2 marks)

Step 3 – Recognise any impairment of goodwill

Historical impairment of goodwill = 20% x £11,000 = £2,000

(1 mark)

			£'000	£'000
JE 2	Dr	Retained earnings	2	
	Cr	Goodwill		2

being historical impairment of goodwill

(1 mark)

Step 4 – Allocate share of subsidiary's historical profit/ loss and other gains/ losses to non-controlling interests

	£'000
Retained earnings at 31 December 20X8	239
Profit for the year ended 31 December 20X8	(18)
Retained earnings at 31 December	221
20X7 Retained earnings at 1 January 20X1	86
Increase	135
Non-controlling interests' share of historical profit (20%)	27

Retained earnings at 31 December 20X7 (1 mark)

Increase (1 mark)

NCI share of historical profit (1 mark)

			£'000	£'000
JE 3	Dr	Retained earnings	27	
	Cr	Non-controlling interests (SOFP)		27

being non-controlling interests' share of historical profit

(1 mark)

Step 5 – Allocate share of subsidiary's current year profit/ loss and other gains/ losses to non-controlling interests

Non-controlling interests' share of current year profit = 20% x £18,000 = £4,000

(1 mark)

			£'000	£'000
JE 4	Dr	SPL – Non-controlling interests	4	
	Cr	Non-controlling interests (SOFP)		4

being non-controlling interests' share of current year profit

(1 mark)

Step 6 – Eliminate intercompany transactions and balances and allocate a share of adjustments to the subsidiary's profit/ loss to non-controlling interests

Annual management fee: 4 x £20k per quarter = £80k

(1 mark)

			£'000	£'000
JE 5	Dr	SPL – Other operating income	80	
	Cr	SPL - general and administrative expense		80

being elimination of management fee

(1 mark)

			£'000	£'000
JE 6	Dr	Trade payables	20	
	Cr	Trade receivables		20

being elimination of intra-group indebtedness

(1 mark)

Step 7 – Disposal of shares in subsidiary

At acquisition

	£'000
Proceeds	38
Less cost of investment in Blue ((10%(disposal)/80%(holding)) x £160,000)	(20)
Gain on disposal	18

Cost of investment (1 mark)

Gain on disposal (1 mark)

	£'000
Proceeds	38
Recognition of increase in NCI (10% x £339,000)	(33.9)
Credit to equity	4.1

NCI (1 mark)

Credit to equity (1 mark)

			£'000	£'000
Dr	SPL – Other operating income		38	
	Cr	SFP – NCI		34
	Cr	SFP – Retained Earnings		4

(2 marks)

(22 marks)

Requirement 2

Partial disposal retaining control

Since Black disposes of a partial interest in a subsidiary but retains control over the subsidiary, the transaction is accounted for as an equity transaction between the parent and its shareholders.

(1 mark)

This means that the difference between the carrying amount of interest in the subsidiary disposed of and the consideration received (including any related transaction costs) is recognised directly in the parent's equity.

(1 mark)

No gain or loss is recognised in profit or loss as a result of the partial disposal.

(1 mark)

Since control is retained, goodwill is not remeasured nor derecognised as a result of the disposal, although an impairment review may be required.

(1 mark)

NCI must be recalculated to reflect the change in the ownership interest of the subsidiary. The NCI share is adjusted based on the current ownership interest after the partial disposal, reflecting the new proportion of the subsidiary's net assets attributable to the NCI.

(1 mark)

Full disposal

If Black sells its entire shareholding in Blue, Black loses control of the subsidiary and the subsidiary should not be consolidated in the financial statements.

(1 mark)

Black would 21erecognize the assets (including any goodwill) and liabilities of the subsidiary at their carrying amounts and also the carrying amount of any NCI at the date when control is lost.

(1 mark)

Black would also calculate and record any gain or loss on disposal in profit or loss.

(1 mark)

The gain or loss on disposal is calculated as the difference between the fair value of the consideration received and the carrying amount of the net assets disposed of.

(1 mark)

Since the subsidiary has been disposed of at the end of the year, in the consolidated statement of profit or loss, the income and expenses must be included from the start of the year to the disposal date.

(1 mark)

As Black has other subsidiaries, it would still be required to prepare consolidated financial statements.

(1 mark)

(11 marks)

Total marks (30 marks)

Solution to Question 6

Requirement 1

When a parent company acquires shares in a subsidiary, it is required to include the subsidiary's net assets in the consolidated financial position statement at fair value as of the acquisition date.

(1 mark)

In this case, the fair value of Decant's net assets will be adjusted as follows:

Property

Property is held under the revaluation model (IAS 16) and so this must be adjusted, in the individual financial statements of the subsidiary, but for consolidation purposes only, prior to any fair value adjustments (IFRS 3).

(1 mark)

Since this is already reflected in Decant's individual financial statements, this is included under 'revaluation surplus' and therefore will form part of the carrying amount of net assets and no fair value adjustment is required on consolidation.

(1 mark)

Inventories

Inventories should be measured at the lower and cost and net realisable value in the individual financial statements. The additional £20,000 write-off indicates that the net realisable value is below cost and therefore a fair value adjustment of £20,000 should be made on consolidation.

(1 mark)

Debentures

As the effective interest rate is equal to the nominal interest rate on the debentures, the carrying amount will be equal to the initial amount issued of £200,000.

(1 mark)

The fair value of the debentures is 200,000 × £0.79 = £158,000 and, therefore, a fair value gain (as the liability is reducing) of £42,000 is adjusted for on consolidation.

(1 mark)

Contingent liability

A contingent liability is recognised as a liability in the consolidated financial statements as long as its fair value can be measured reliably.

(1 mark)

As the case was settled shortly after the date of acquisition, the fair value of £13,000 should be recognised on consolidation.

(1 mark)

Fair value of net assets

	£'000
Carrying amount of net assets (250,000 + 260,000 + 316,000)	826
Fair value decrease in inventories	(20)
Fair value increase in debentures (200,000 x [£1.00 - £0.79])	42
Contingent liability (£10,000 + £3,000)	(13)
Fair value of net assets	835

Carrying amount of net assets (1 mark)

Fair value adjustments (1 mark)

Fair value of net assets (1 mark)

(11 marks)

Requirement 2 Chapman

Pre-consolidation

Step 1 – Translate the financial statements to presentation currency

Not required by the question.

Step 2 – Calculate and recognise the exchange differences on translation

Opening net assets	**Closing rate**	**Opening rate**	**Exchange difference**
	£'000	**£'000**	**£'000**
Share capital	$120,000/1.70	$120,000/1.60	
	71	75	(4)
Retained earnings	$280,000/1.70	$280,000/1.60	
	165	175	(10)
Profits	**Closing rate**	**Average rate**	
Retained profit for the year	$75,000/1.70	$75,000/1.65	
	44	45	(1)
Exchange losses on translation			(15)

FX loss on Share capital (1 mark)

FX loss on Retained earnings (1 mark)

FX loss on Profit for the year (1 mark)

Total exchange loss (1 mark)

			£'000	**£'000**
JE 1	Dr	Translation reserve	15	
	Cr	Share capital		4
	Cr	Retained earnings		11

being exchange losses on translation of subsidiary in the current year

(1 mark)

Consolidation

Step 1 – Add financial statements together

See Requirement 2.

Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

	$'000	$:£	£'000
Investment in Chapman	560	1.60	350
Share capital	120	1.60	75
Retained earnings	280	1.60	175
	400	1.60	250
Goodwill	160	1.60	100

Goodwill $000(1 mark)

Goodwill £000 (1 mark)

			£'000	£'000
JE 2	Dr	Goodwill	100	
	Dr	Share capital	75	
	Dr	Retained earnings	175	
		Cr Investment in Chapman		350

being elimination of investment

(1 mark)

Step 3 - Recognise goodwill impairment

	$'000	$:£	£'000
Goodwill 1 April 20X2	160	1.60	100
Impairment	16	1.65	(10)
Translation gain /(loss)			(5)
Carrying amount at 31 March 20X3	144	1.70	85

Impairment (1 mark)

Gain/loss (1 mark)

Carrying amount (1 mark)

JE3

		£'000	£'000
Dr	SPL – impairment loss	10	
	Cr Goodwill		10

Being impairment of goodwill

(1 mark)

JE 4

		£'000	£'000
Dr	Translation reserve	5	
	Cr Goodwill		5

Being translation loss on goodwill

(1 mark)

(13 marks)

Total marks (24 marks)

Solution to Question 7

Requirement 1

Marble

Step 1 – Add financial statements together

See Requirement 2.

Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

	£'000	£'000
Investment in Marble		700
Non-controlling interests' share of net assets (20% x £820,000)		164
		864
Share capital	500	
Retained earnings	320	820
Goodwill		44

Non-controlling interests' share of net assets (1 mark)

Goodwill (1 mark)

			£'000	£'000
JE 1	Dr	Share capital	500	
	Dr	Retained earnings	320	
	Dr	Goodwill	44	
		Cr Investment in Marble		700
		Cr Non-controlling interests (SOFP)		164

being the elimination of investment and recognition of goodwill and non-controlling interests

(2 marks)

Step 3 – Recognise impairment of goodwill

Current year impairment of goodwill = 10% x £44,000 = £4,000

(1 mark)

			£'000	£'000
JE 2	Dr	SPL – Impairment loss	4	
		Cr Goodwill		4

being current year impairment of goodwill

(1 mark)

Step 4 – Allocate share of subsidiary's historical profit/ loss and other gains/ losses to non-controlling interests

	£'000
Retained earnings at 30 September 20X9	500
Profit for the year	(325)
Dividend paid on 30 September 20X9 (500,000 x £0.60)	300
Retained earnings at 1 October 20X8	475
Retained earnings at 30 November 20X1	320
Increase	155
Non-controlling interests' share of historical profit (20% x £155,000)	31

Retained earnings at 1 Oct 20X8 (1 mark)

Increase (1 mark)

NCI (1 mark)

			£'000	£'000
JE 3	Dr	Retained earnings	31	
	Cr	Non-controlling interests (SOFP)		31

being non-controlling interests' share of historical profit

(1 mark)

Step 5 – Allocate share of subsidiary's current year profit/ loss and other gains/ losses to non-controlling interests

Non-controlling interests' share of current year profit = 20% x £325,000 = £65,000

(1 mark)

			£'000	£'000
JE 4	Dr	SPL – Non-controlling interests	65	
	Cr	Non-controlling interests (SOFP)		65

being non-controlling interests' share of current year profit

(1 mark)

Step 6 – Eliminate intercompany transactions and balances and allocate a share of adjustments to the subsidiary's profit/ loss to non-controlling interests

Intercompany sales and purchases

	£'000
Sales (100%)	550
Cost of sales (60%)	(330)
Unrealised profit (40%)	220

(1 mark)

			£'000	£'000
JE 5	Dr	SPL – Revenue	2,635	
	Cr	SPL – Cost of sales		2,635

being the elimination of intercompany sales and purchases

(1 mark)

			£'000	£'000
JE 6	Dr	SPL – Cost of sales	220	
	Cr	Inventories		220

being elimination of intercompany unrealised profit in inventories

(1 mark)

			£'000	£'000
JE 7	Dr	Trade payables	550	
	Cr	Trade receivables		550

being the elimination of intercompany balances

(1 mark)

Intercompany dividend

	£'000
Group share of dividend (80% x £300,000)	240
Non-controlling interests' share of dividend (20% x £300,000)	60
Dividend	300

(1 mark)

				£'000	£'000
JE 8	Dr	SPL – Dividend income		240	
	Dr	Non-controlling interests (SOFP)		60	
		Cr	Retained earnings		300

being the elimination of intercompany dividend

(1 mark)

Terra

Pre-consolidation

Step 1 – Translate the financial statements to presentation currency

See Requirement 2.

Step 2 – Calculate and recognise the exchange differences on translation

Opening net assets	**Closing rate**	**Opening rate**	**Exchange difference**
	£'000	**£'000**	**£'000**
Share capital	€800,000/1.40	€800,000/1.50	
	571	533	38
Retained earnings	€50,000/1.40	€50,000/1.50	
	36	33	3
Profits	**Closing rate**	**Average rate**	
Retained profit for the year	€(29,000)/1.40	€(29,000)/1.45	
	(21)	(20)	(1)
Exchange gains on translation			40

Share capital (1 mark)

Retained earnings (1 mark)

Loss for the year (1 mark)

Total gain (1 mark)

				£'000	£'000
JE 9	Dr	Share capital		38	
	Dr	Retained earnings (3 - 1)		2	
		Cr	Translation reserve		40

being exchange gains on translation of subsidiary in the current year

(1 mark)

Consolidation

Step 1 – Add financial statements together

See Requirement 2.

Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

	€'000	€:£	£'000
Investment in Terra	950	1.50	633
Share capital	800	1.50	533
Retained earnings	50	1.50	34
	850	1.50	567
Goodwill	100	1.50	66

Goodwill €'000 (1 mark)

Goodwill £'000 (1 mark)

			£'000	£'000
JE 10 Dr	Goodwill		66	
Dr	Share capital		533	
Dr	Retained earnings		34	
	Cr	Investment in Terra		633

being elimination of investment

(1 mark)

Retranslation of goodwill

	€'000	€:£	£'000
Goodwill at 1 October 20X8	100	1.50	66
Exchange gain			5
Goodwill at 30 September 20X9	100	1.40	71

Exchange gain (1 mark)

Carrying amount (1 mark)

			£'000	£'000
JE 11 Dr	Goodwill		5	
	Cr	Translation reserve		50

being translation gain on goodwill

(1 mark)

Step 3 – Recognise impairment of goodwill

N/A – there is no goodwill.

Step 4 – Allocate share of subsidiary's historical profit/ loss and other gains/ losses to non-controlling interests

N/A – there are no non-controlling interests.

Step 5 – Allocate share of subsidiary's current year profit/ loss and other gains/ losses to non-controlling interests

N/A – there are no non-controlling interests.

Step 6 – Eliminate intercompany transactions and balances

Point of transfer

	£'000
Cost	60
Accumulated depreciation (2/5 years x £60k)	(24)
Carrying amount	36
Proceeds	40
Gain on disposal	4

(2 marks)

			£'000	£'000
JE 12	Dr	Machinery – cost	20	
	Dr	SPL – Gain on disposal	4	
	Cr	Machinery – accumulated depreciation		24

being the elimination of intercompany transfer of non-current asset at a gain

(1 mark)

Post-transfer period

Depreciation charge in foreign currency = 1/3 years x (£40,000 x €1.50) = €20,000

(1 mark)

	£'000
Actual depreciation charged (€20,000/1.45)	14
Equivalent historical depreciation charge (1/5 years x £60,000)	12
Excess depreciation charge	**2**

(2 marks)

			£'000	£'000
JE 13	Dr	Machinery – Accumulated depreciation	2	
	Cr	SPL – Depreciation charge		2

being adjustment to depreciation charge

(1 mark)

(36 marks)

Requirement 2

Exemptions from preparing consolidated financial statements

As Granite is not a company traded on a public market (eg the London Stock Exchange), they are not automatically required to prepare consolidated financial statements under IFRS 10.

(1 mark)

An exemption is available from preparing consolidated financial statements if the parent company is itself a subsidiary and its immediate parent prepares consolidated financial statements.

(1 mark)

The parent company must be registered within the European Economic Area or must produce consolidated financial statements in line with the European Union's 7th Directive.

Under this exemption, non-controlling interests can still request for consolidated financial statements to be prepared.

(1 mark)

As Granite is the parent company and does not have an immediate parent itself, it cannot apply this exemption.

(1 mark)

Another exemption exists if, at the end of the financial year, a company is subject to the small companies regime. Granite cannot apply this exemption as it is not small.

(1 mark)

Summary of the grounds for excluding a subsidiary from consolidation.

Subsidiaries may be excluded from consolidated financial statements if control is lost or if the subsidiary is immaterial to the group.

As Terra is wholly owned and as it appears to be material to the group, it cannot be excluded.

(1 mark)

(6 marks)

Total marks (38 marks)

Solution to Question 8

Requirement 1

Step 1 – Adjust for any gain from a bargain purchase

N/A – shares subscribed to on set up of joint venture.

Step 2 – Allocate share of joint venture's historical profit/ loss and other gains/ losses to the group

	£'000
Retained earnings at 31 December 20X8	460
Profit for the year ended 31 December 20X8	(220)
Dividend paid on 30 November 20X8	160
Retained earnings at 31 December 20X7	400
Retained earnings at 1 January 20X1	-
Increase	400
Group share of historical profit (25% x £400,000)	100

Retained earnings at 31 December 20X7 (1 mark)

Increase (1 mark)

Group share (1 mark)

			£'000	**£'000**
JE 1	Dr	Investment in Penman	100	
	Cr	Retained earnings		100

being group share of historical profit

(1 mark)

Step 3 – Allocate share of joint venture's current year profit/ loss and other gains/ losses to the group

Group share of current year profit = 25% x £220,000 = £55,000

(1 mark)

			£'000	**£'000**
JE 2	Dr	Investment in Penman	55	
	Cr	SPL – Share of profit of Penman		55

being group share of current year profit

(1 mark)

Step 4 – Eliminate group share of intercompany transactions and balances Intercompany sales and purchases

	£'000
Sales (125%)	40
Cost of sales (100%)	32
Markup (25%)	8
Unrealised profit (50%)	4
Group share of unrealised profit (25% x £4,000)	1

URP (1 mark)

Group share (1 mark)

			£'000	£'000
JE 3	Dr	SPL – Cost of sales	1	
	Cr	Investment in Penman		1

being the elimination of intercompany unrealised profit

(1 mark)

Intercompany dividend

Group share of dividend = 25% x £160,000 = £40,000

(1 mark)

			£'000	£'000
JE 4	Dr	SPL – dividend income	40	
	Cr	Investment in Penman		40

being the elimination of intercompany dividend

(1 mark)

Final step – Transfer adjustments in the consolidated statement of profit or loss to the consolidated statement of financial position

Group share of current year profit (JE 2)	55 Cr
Elimination of intercompany unrealised profit (JE 3)	1 Dr
Elimination of intercompany dividend (JE 4)	40 Dr
Net	14 Cr

(1 mark)

			£'000	£'000
JE 5	Dr	SPL	14	
	Cr	Retained earnings		14

being transfer to retained earnings

(1 mark)

Total marks (12 marks)

Requirement 2

Cowan Group Consolidated statements of financial position (extracts) as at 31 December 20X8

ASSETS	Cowan Group	Penman	JE1	JE2	JE3	JE4	JE5	Consolidated
Non-current assets								
Property, plant and equipment	4,500	900						4,500
Investment in Penman	100	-	100	55	-1	-40		214
	4,600	900						
Equity								
Share capital	1,000	400						1,000
Share premium	800	-						800
Retained earnings	1,840	460	100				14	1,954
Total equity	3,640	860						

Processing (3 marks)

Row totalling (1 mark)

Requirement 3

Under IFRS 12, companies shall disclose information that enables users of their financial statements to evaluate the nature, extent and financial effects of their interests in joint arrangements and the nature of risks associated with their interests.

(1 mark)

Specifically, an entity shall disclose:

1. A list of joint arrangements that are material for the entity, including the names of joint arrangements, the nature of the entity's relationship with them, the principal place of business, and the proportion of ownership interest.

(1 mark)

2. Accounting method used and summarised financial information for the joint ventures that are material to the company.

(1 mark)

3. The nature and extent of any significant restrictions (eg resulting from borrowing arrangements, regulatory requirements or contractual arrangements between investors with joint control of or significant influence over a joint venture or an associate) on the ability of joint ventures or associates to transfer funds to the entity in the form of cash dividends, or to repay loans or advances made by the entity.

(1 mark)

4. Risks associated with an entity's interests in joint ventures, namely commitments that it has relating to its joint ventures and contingent liabilities incurred relating to its interests in joint ventures.

(1 mark)

Total marks (5 marks)

Solution to Question 9

Requirement 1

Cooley E-learning plc

Step 1 – Add financial statements together

Not required by the question.

Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

Fair value of net assets

	£'000
Carrying amount of net assets	4,466
Fair value decrease in inventories	(42)
Fair value of net assets	4,424

(1 mark)

Goodwill and non-controlling interests

	£'000
Investment in Cooley	4,574
Non-controlling interests' share of net assets (10% x £4,424,000)	442
	5,016
Fair value of net assets	4,424
Goodwill	592

Non-controlling interests' share of net assets (1 mark)

Goodwill (1 mark)

				£'000	**£'000**
JE 1	Dr	Share capital		1,000	
	Dr	Retained earnings		3,125	
	Dr	Revaluation surplus		341	
	Dr	Goodwill		592	
		Cr	Inventories		42
		Cr	Investment in Cooley		4,574
		Cr	Non-controlling interests (SOFP)		442

being elimination of investment and recognition of goodwill and non-controlling interests

Fair value adjustment (1 mark)

Elimination of investment and recognition of goodwill and non-controlling interests (2 marks)

				£'000	**£'000**
JE 2	Dr	Inventories		42	
		Cr	SPL - Cost of sales		42

being subsequent reversal of inventories write-off as it has been adjusted for already as a fair value adjustment

(1 mark)

Step 3 – Recognise any impairment of goodwill

Current year impairment of goodwill = 30% x £592,000 = £178,000

(1 mark)

			£'000	£'000
JE 3	Dr	SPL – General and administrative expenses	178	
	Cr	Goodwill		178

being current year impairment of goodwill

(1 mark)

Step 4 – Allocate share of subsidiary's historical profit/ loss and other gains/ losses to non-controlling interests

N/A – subsidiary acquired in the current year.

Step 5 – Allocate share of subsidiary's current year profit/ loss and other gains/ losses to non-controlling interests

Non-controlling interests' share of current year profit = 10% x (£495,000 + £42,000) = £53,700

(1 mark)

			£'000	£'000
JE 4	Dr	SPL – Non-controlling interests	54	
	Cr	Non-controlling interests (SOFP)		54

being non-controlling interests' share of current year profit

(1 mark)

Step 6 – Eliminate intercompany transactions and balances and allocate a share of adjustments to the subsidiary's profit/ loss to non-controlling interests

Investment property

			£'000	£'000
JE 5	Dr	Property – cost	8,000	
	Cr	Investment property		8,000

being reclassification of investment property to owner-occupied property for consolidation purposes only

(1 mark)

Depreciation charge = 6/1,080 months x £8,000,000 = £44,000

(1 mark)

			£'000	£'000
JE 6	Dr	SPL – General and administrative expenses	44	
	Cr	Property – accumulated		44

being depreciation of property for consolidation purposes only

(1 mark)

Intercompany rent

6/12 months x £60,000 = £30,000

(1 mark)

			£'000	£'000
JE 7	Dr	SPL – income from rental of investment property	30	
	Cr	SPL – general and administrative expenses		30

being the elimination of intercompany rent

(1 mark)

Deferred income/ Prepayment from annual payment in advance = 6/12 months x £60,000 = £30,000

(1 mark)

			£'000	£'000
JE 8	Dr	Deferred income	30	
	Cr	Prepayments		30

being elimination of intercompany deferred income and prepayment from annual rent paid in advance on 1 December 2021

(1 mark)

Intercompany management fees

			£'000	£'000
JE 9	Dr	SPL – Other operating income	75	
	Cr	SPL – General and administrative expenses		75

being the elimination of intercompany management fees

(1 mark)

Upton Knowledge LLC

Investment in joint venture

Gain on disposal of property = £60,000 - £55,000 = £5,000

(1 mark)

			£'000	£'000
JE 10	Dr	Investment in Upton	80	
	Cr	Plant and equipment – carrying amount		55
	Cr	SPL – General and administrative expenses		5
	Cr	SPL – Interest expenses		20

being a correction to recognise investment in joint venture, recognise gain on disposal of property and eliminate finance costs

(2 marks)

Step 1 – Adjust for any gain from a bargain purchase

N/A – shares subscribed to at their nominal value.

Step 2 – Allocate share of joint venture's historical profit/ loss and other gains/ losses to the group

N/A – joint venture set up on 1 June 20X1.

Step 3 – Allocate share of joint venture's current year profit/ loss and other gains/ losses to the group

Group share of current year profit = 50% x £570,000 = £285,000

(1 mark)

			£'000	**£'000**
JE 11	Dr	Investment in Upton	285	
	Cr	SPL – Share of profit of joint venture		285

being group share of current year profit

(1 mark)

Step 4 – Eliminate group share of intercompany transactions and balances Intercompany dividend

Group share of dividend = 50% x £100,000 = £50,000

(1 mark)

			£'000	**£'000**
JE 12	Dr	SPL – dividend income	50	
	Cr	Investment in Upton		50

being elimination of intercompany dividend

(1 mark)

Total marks (26 marks)

Requirement 2

Upton is a joint venture and should be included in the consolidated accounts using the equity method of accounting.

(1 mark)

Badminton need not apply the IAS 28 equity method for joint ventures, and prepare separate financial statements, if all of the following apply:

1. The investor is a wholly or partly owned subsidiary and the other owners do not object

2. The investor's debt or equity is not publicly traded

3. The investor did not file nor is it in the process of listing its debt or equity

4. The investor's ultimate or intermediate parent produces publicly available IFRS financial statements.

(2 marks)

Badminton does not seem to qualify for exemption from equity accounting as it is the ultimate parent of the group and, thus, must prepare consolidated financial statements, which include Upton, consolidated using equity accounting.

(1 mark)

(4 marks)

Total marks (30 marks)

Solution to Question 10

Although FLB owns PWF, we must consider which entity controls it by considering:

1. power over the investee
2. exposure or rights to variable returns from involvement with the investee
3. the ability of the investor to use its power over the investee to affect returns.

(2 marks)

Power

Power is defined as existing rights that give the current ability to direct relevant activities.

(1 mark)

Although rights often come from voting rights, FLB owning 100% of the share capital of PWF is not enough to define power.

(1 mark)

Pizzaworld retained the right to monitor the operation of the franchises and to make necessary changes under the terms of each franchise and so have power through the current ability to direct relevant activities.

(1 mark)

Exposure or rights to variable returns

FLB effectively receives a repayment of the loan with interest through the dividend payment.

(1 mark)

Pizzaworld, however, has rights to variable returns through a surplus above the dividend.

(1 mark)

Use of power to affect returns

As Pizzaworld can make changes to the franchise to affect performance, this affects returns through the surplus received each year.

(1 mark)

Conclusion

Pizzaworld controls PWF through the power that it exerts, therefore, PWF must be consolidated into the Pizzaworld Group.

(1 mark)

Total marks (9 marks)

Solution to Question 11

Pompeii

Although Vesuvius own only 44% of the ordinary shares of Pompeii, this accounts for 63% of the voting rights and, therefore, they have control.

(1 mark)

Pompeii must be included in the consolidated financial statements as a partially owned subsidiary with 56% non-controlling interests.

(1 mark)

Ownership = 2,000,000/(2,500,000 + 2,000,000) = 44%

Voting rights = (2,000,000 x 3)/([2,500,000 x 3 votes] + 2,000,000) = 63%

(1 mark)

Herculaneum

Vesuvius owns only 20% of the ordinary shares of Herculaneum and, therefore, they do not have control.

(1 mark)

Voting power of 20% is presumed to give significant influence unless it can be clearly demonstrated that this is not the case.

(1 mark)

Herculaneum must be included in the consolidated financial statements as a 20% associate. Voting rights = 1,000,000/5,000,000 = 20%.

(1 mark)

Naples

Naples must be included in the consolidated financial statements as a wholly owned subsidiary.

(1 mark)

If the conditions of IFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* have been met, the assets and liabilities of Naples must be classified as held for sale.

(1 mark)

Roman

Vesuvius have joint control of Roman as there is contractually agreed sharing of control of an arrangement.

(1 mark)

Roman must be included in the consolidated financial statements as a joint operation, as a separate legal entity has been created, over which shareholders have rights to the assets and obligations for the liabilities.

(1 mark)

Total marks (10 marks)

Solution to Question 12

Step 1 – Adjust for any gain from a bargain purchase

	£'000	£'000
Investment in Pilot		8,000
Share capital	30,000	
Retained earnings	4,600	
	34,600	
Group share of net assets (25% x £34,600,000)		(8,650)
Gain from a bargain purchase		650

Group share of net assets (1 mark)

Gain from a bargain purchase (1 mark)

JE 1

Dr	Investment in associate	650	
Cr	Retained earnings		650

Being historical gain from a bargain purchase

(1 mark)

Step 2 – Allocate share of associate's historical profit/loss and other gains/losses to the group

	£'000
Retained earnings at 30 September 20X3	6,850
Profit for the year ended 30 September 20X3	(5,800)
Dividend paid during the year ended 30 September 20X3	4,000
Retained earnings at 30 September 20X2	5,050
Retained earnings at 1 October 20X1	4,600
Increase	450
Non-controlling interests' share of historical profit (25%)	113

Retained earnings at 30 September 20X2 (1 mark)

Increase (1 mark)

Non-controlling interests' share (1 mark)

JE 2

Dr	Investment in associate	113	
Cr	Retained earnings		113

Being group share of historical profit

(1 mark)

Step 3 – Allocate share of associate's current year profit/loss and other gains/losses to the group

Group share of profit = 25% x £5,800,000 = £1,450,000

(1 mark)

JE 3

Dr	Investment in associate	1,450	
	Cr SPL – share of profit of associate		1,450

Being group share of profit of associate

(1 mark)

Step 4 – Eliminate group share of intercompany transactions and balances

Group share of dividend = 25% x £4,000,000 = £1,000,000

(1 mark)

JE 4

Dr	SPL – income from associates	1,000	
	Cr Investment in associate		1,000

Being elimination of intercompany dividend

(1 mark)

	£'000
Sales (100%)	3,240
Cost of sales (80%)	(2,592)
Gross margin (20%)	648
Unrealised (10%)	65
Group share (25%)	16

(2 marks)

JE 5

Dr	SPL – cost of sales	16	
	Cr Investments in associate		16

Being elimination of down-stream transaction

(1 mark)

Final step – Transfer adjustments in the consolidated statement of profit or loss to the consolidated statement of financial position

	£'000
Group share of current year profit	1,450 Cr
Elimination of intercompany dividend	1,000 Dr
Elimination of unrealised profit	16 Dr
Net	434 Cr

(1 mark)

JE 6

Dr	SPL	434	
	Cr Retained earnings		434

Being transfer to retained earnings

(1 mark)

Total (16 marks)

Solution to Question 13

Step 1 – Adjust for any gain from a bargain purchase

Shareholding = 20,000/50,000 = 40%

(1 mark)

	£'000	£'000
Investment in Sparrow		30
Share capital	50	
Retained earnings	35	
		85
Group share of net assets (40% x £85,000)		34
Gain from a bargain purchase		4

Group share of net assets (1 mark)

Gain from a bargain purchase (1 mark)

Dr	Investment in Sparrow	4	
	Cr Retained earnings		4
Being historical gain from a bargain purchase			

(1 mark)

Step 2 – Allocate share of associate's historical profit/loss and other gains/losses to the group

	£'000
Retained earnings at 30 September 20X8	78
Profit for the year ended 30 September 20X8	(32)
Dividend paid on 31 July 20X8	10
Retained earnings at 30 September 20X7	56
Retained earnings at 30 September 20X2	35
Increase	21
Group share of historical profit (40% x £21,000)	8

Retained earnings at 30 September 20X7 (1 mark)

Increase (1 mark)

Group share of historical profit (1 mark)

Dr	Investment in Sparrow	8	
	Cr Retained earnings		8
Being group share of historical profit			

(1 mark)

Step 3 – Allocate share of associate's current year profit/loss and other gains/losses to the group

Group share of current year profit = 40% x £32,000 = £12,800 rounded to £13,000

(1 mark)

Dr	Investment in Sparrow	13	
	Cr SPL – share of profit of Sparrow		13

Being group share of current year profit

(1 mark)

Step 4 – Eliminate group share of intercompany transactions and balances

Intercompany dividend

Group share of dividend = 40% x £10,000 = £4,000

(1 mark)

Dr	SPL – income from associate	4	
	Cr Investment in Sparrow		4

Being elimination of intercompany dividend

(1 mark)

Intercompany sales and purchases

Sales	40
Cost of sales	(32)
Gross profit	8
Unrealised profit (25%)	2
Group share of unrealised profit (40%)	1

Unrealised profit (1 mark)

Group share of unrealised profit (1 mark)

Dr	SPL – share of profit of Sparrow	1	
	Cr Inventories		1

Being group share of unrealised profit in inventories

(1 mark)

(14 marks)